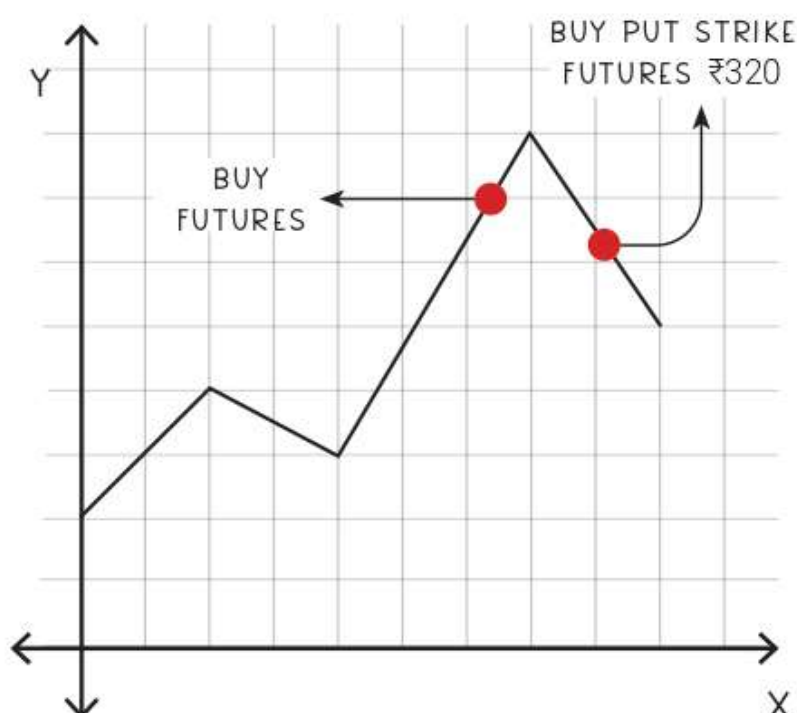


If we sell a put option, it must be accompanied by buying a put option at a lower strike price so that the position of unlimited losses no longer exists. When we are selling call options, we must buy another call option that has a higher strike price. When we are selling a futures contract short, we must buy a high call option.

All these are risk management trades that we take, which reduces our profitability, but ensures that we survive in the market. One news does make us bankrupt. There are countless stories in the market where a trader did really well for 4-5 years taking such high risk positions but with one news the entire portfolio got wiped out. Unimaginable things keep on happening in the market and you do not want to lose your portfolio to that.



For example:

Suppose we have sold a futures contract at ₹350. The contract is leveraged 6 times.

To protect ourselves from unlimited losses, we may take an opposite position here. Say we buy a call option at strike price of ₹380. So any price increase beyond ₹380 will be compensated by the call option. This way we have converted our unlimited loss position to limited loss position as the losses from short selling would be compensated by profits from the call option.